A COLLECTION OF SHORT NOTES | DERIVED FROM RESEARCH AND READINGS | 2 JULY 2026

After the Easy Money

Six notes on expensive money, the AI trade, real assets and the discipline of not needing one perfect forecast.

THE OPENING THOUGHT

The supplied macro reports disagree on timing but converge on temperament: keep participating, but stop behaving as though a crowded market, a friendly Fed and cheap money are permanent weather.

$4.8tn	4.2%	92%	15-30%
Nvidia market value cited in the source material	US May CPI cited in the source material	Projected 2026 hyperscaler capex / operating cash flow	Suggested higher-than-normal cash / T-bill range

Markets are most persuasive when they make the present feel permanent. This collection begins with the opposite thought: the cycle has changed temperature. These short notes gather what the research sees in the distance - an expensive Fed, a magnificent AI build-out, a softening consumer and the value of having a little cash when certainty becomes scarce.

These are short notes derived from research and readings. Facts and figures remain attributed to the source material; the prose is an editorial synthesis, not independent verification or personalised investment advice.

EXECUTIVE SUMMARY

The short version

The practical message is defensive participation. Keep exposure to the long-term engines of growth, but build a portfolio that does not need every crowded trade, every policy decision and every optimistic earnings forecast to be right at the same time.

The market is still moving, but the margin for error is thinner.
Narrow leadership, high valuations and a less accommodating inflation backdrop argue for better position sizing rather than a grand exit.

AI is a genuine revolution and an increasingly expensive trade.
Own the tools and durable infrastructure selectively; be more sceptical about businesses priced on distant returns or cheap funding.

Liquidity has become useful again.
Cash, T-bills and a diversified real-asset sleeve can provide both protection and the ability to buy when the mood changes.

The notes that follow are intentionally compact. They are meant to be read as a collection: each holds one idea, one tension and one question worth carrying into the next page.

A MAP BEFORE THE WALK

Contents

Each note may be read on its own. Together they form a picture of the week's recurring pressures and possibilities.

NOTE 01 | THE TEMPERATURE OF THE ROOM

Late cycle does not mean last call

A late-cycle market is not a market that must fall tomorrow. It is a market in which the easy excuses have left the building.

The macro synthesis describes a market with narrow leadership, elevated valuations and an unusually heavy reliance on a handful of AI winners. That can continue. Narrow markets often have more stamina than observers expect, especially when passive flows keep returning to the same familiar names. But a rally carried by a small cast has less understudy support if the stars forget their lines.

The useful portfolio idea is "defensive participation." Keep the long-term themes that may compound - AI infrastructure, selective Asia, hard assets - while reducing the risk that one crowded trade or one policy mistake can damage the whole portfolio. This is less dramatic than predicting a crash and more useful than pretending risk has retired.

"The late cycle is not a verdict. It is a request for better manners."

> **The practical translation**
> **Stay invested, but diversify the reason you are invested.** A portfolio should not depend entirely on AI melt-up, falling inflation and instant central-bank rescue occurring together.

Source trail: Macro Cycle, AI Bubble Risk & Portfolio Positioning, July 2026.

NOTE 02 | THE FED WITHOUT A CAPE

When money stays expensive

Investors have spent years assuming that a weak market brings a helpful central bank. Sticky inflation makes that reflex less reliable.

The source material places the Fed funds range at 3.50%-3.75% after the June 2026 meeting and cites May CPI at 4.2%. The point is not the exact decimal place. It is the constraint: if inflation is above target, the Fed has less room to soothe markets without reviving the problem it is trying to solve.

That is why housing, gasoline and consumer debt deserve attention. Higher rates are slow-moving pressure. They show up in mortgage affordability, credit-card bills and the cautious shopper who decides that a new sofa can wait. The market may float above these realities for a while; the household cannot.

> *"The Fed may still bring an umbrella. It is simply less likely to stop the rain."*

Watch the ordinary things

New-home sales, mortgage rates, gasoline prices, credit spreads and the 10-year Treasury yield are not glamorous. Neither is a smoke alarm.

Source trail: Gary Shilling material and updated macro references cited in the source report.

NOTE 03 | THE AI MIRROR

A real technology can still host a bubble

Railroads changed the world. Electricity changed the world. The internet changed the world. Investors still managed to overpay for all three at various points.

The reports are not arguing that AI is imaginary. They are worried about what happens when investors treat a true idea as a guaranteed trade. The relevant symptoms are familiar: giant capital spending plans, narrow leadership, high valuations and a tendency to confuse a company receiving the spending with the company ultimately earning a return on it.

The cleanest winners have so far been the tools sellers - chips, servers, networking, power and cooling. The more difficult question belongs to the companies paying for the build-out. If capital expenditure climbs faster than free cash flow, the future is being asked to do increasingly heavy lifting.

> *"A brilliant invention does not come with a promise that every shareholder bought it at a sensible price."*

Portfolio posture
Keep strategic AI exposure, but do not let passive index exposure hide how concentrated the bet has become. Buy durable infrastructure on pullbacks; avoid financing a long-term thesis with short-term leverage.

Source trail: Marc Faber, Gloom, Boom & Doom, HS Dent and Harry's Take as synthesised in the source report.

The house is also a confidence machine

Housing is not merely a sector. It is where rates meet human aspiration, construction workers, banks and the weekend furniture store.

The source report cites new-home sales of 580,000 annualised in May and frames affordability as a weak link. When mortgage rates stay high, the stress spreads slowly: fewer moves, less construction, thinner demand for appliances and a weaker wealth effect. It is tedious right up until it is not.

The sensible response is not to predict a housing crash on schedule. It is to recognise that rate-sensitive cyclicals and highly levered consumer businesses have less margin for error. The strongest balance sheets usually become more attractive when the rest of the market is forced to rediscover arithmetic.

> *"A home is a roof, a balance sheet and a mood. Markets care about all three."*

A useful warning pair
Falling sales alongside rising inventory matters more than either in isolation. Watch the direction, not just the headline.

Source trail: Macro Cycle, AI Bubble Risk & Portfolio Positioning, July 2026.

NOTE 05 | THINGS THAT DO NOT EARN A COUPON

Gold, oil and the real-asset argument

Gold has no cash flow. Oil has no manners. Commodities can be troublesome companions. They are still useful when financial promises become less convincing.

The reports differ about gold's near-term path but converge on its job: a hedge against inflation, currency distrust and policy error. Energy and broad commodities play a related role, although they are cyclical and can fall in a recession. The goal is not a shrine to any one asset. It is a sleeve of things that do not depend on a perfect bond-market outcome.

Cash and T-bills deserve a less glamorous mention. When yields are meaningful, liquidity is not laziness. It is optionality: the ability to buy good assets when someone else must sell them. In a noisy market, patience has started paying interest again.

> *"Dry powder is only boring until the market catches fire."*

The allocation idea

The source report suggests a diversified real-asset sleeve and a higher-than-normal cash buffer, rather than one heroic bet on gold, oil or a crash.

Source trail: Macro Cycle, AI Bubble Risk & Portfolio Positioning, July 2026.

Prepare before you need courage

The best time to make a shopping list is not during a sale where everyone is running for the exits.

The macro report's scenario playbook is less about guessing the next headline than about deciding in advance what each market condition would mean. A soft landing calls for participation. Sticky inflation calls for quality, liquidity and real assets. A growth slowdown calls for balance sheets. An AI unwind calls for selective buying, not a vow never to own technology again.

The common thread is that hedges should be insurance, not an identity. The portfolio should survive upside that lasts too long and downside that arrives too quickly. That is a more demanding design brief than simply being bullish or bearish, but it travels better.

> *"The point of a hedge is not to win the argument. It is to remain solvent enough to have the next one."*

Signals to keep on one page
Market breadth, 10-year yields, CPI/PCE, housing inventory, AI capex returns, credit spreads and gasoline prices are the source report's preferred gauges.

Source trail: Macro Cycle, AI Bubble Risk & Portfolio Positioning, July 2026.

NOTES ON SOURCES

Source notes

This collection is based on the supplied document and its cited reading. It does not independently verify every number, date, forecast, interpretation or source claim. Forecasts and scenario views remain the views of the original authors.

Source material used

Gary Shilling's Insight; Marc Faber commentary; Gloom, Boom & Doom; HS Dent Forecast; Harry's Take; public market and macro data as listed in the source report.

Not investment advice

This is a reading guide, not a recommendation to buy, sell or hold any asset. It does not take account of individual circumstances, objectives or tolerance for risk.

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